

MUJEEB FARUQUI

CASE STUDY ▲

Abdul Raqeeb, 47
Fleet Manager with private school, *Bhopal, MP*

Necessity No More

How often does a lingering cash crunch indefinitely stall the acquisition of even a necessity? Abdul had purchased a 7 kg top-loading washing machine in 2014, which has served the household well. For the past two years, his home-maker wife has been asking him to upgrade to a front-loading 12 kg machine. This costs between Rs 45,000 and Rs 60,000 and Abdul isn't able to set aside that money. "I bought the washing machine for less than Rs 10,000 and now feel the prices have gone up significantly. One is told that white goods become cheaper with time but companies keep bringing in newer technology for which they charge more," says Abdul, who doesn't reveal his annual income.

Abdul has three children, who attend coaching classes to prepare for competitive exams. Much of his salary is spent paying the fees. His yearly increment also falls far short of what he needs. "There is no way one can go back to manually washing clothes," he says. They will have to make do with the old washing machine for now.

–Rahul Noronha

Suzuki chairman R.C. Bhargava raises a pertinent point. "In FY19, 82 per cent of the cars sold were below Rs 10 lakh," he points out. "That segment is not growing any more; it is, in fact, declining. You have to judge for yourselves if that large a segment does not grow but actually declines, how much can the other segment grow and make up for this 80 per cent segment?" Two-wheeler sales, another abiding symbol of middle-class mobility, are seeing a similar downward trend. From a pre-Covid high of 21.8 million in FY19, they came down to 17.8 million in FY24—a 10-year low.

Real estate is another sector that is being affected by the depressed middle-class mood. Aishwarya Kumari, a 31-year-old HR professional with an IT company in Noida, had been contemplating buying a home in the suburbs ever since her six-year-old daughter started school here (see *No Rooms of Their Own*). But the high inflation, stagnant incomes, the rising prices of homes and the uncertainty in the IT sector have meant that she has had to put her decision on hold. Even

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– R.C. BHARGAVA
Chairman, Maruti Suzuki



if it means continuing to deal with rising rents, or having to shift home every now and then. Sales of affordable homes, or units priced under Rs 50 lakh, have understandably declined. Along with homes under Rs 1 crore, they comprise the most voluminous segment—nearly half the residential market. Rising interest rates—they have shot up from 6.5 per cent during Covid to 9.5 per cent or even double digits—are a big inhibiting factor. Meanwhile, incentives under the PM Awas Yojana were unavailable for a while as the government migrated to a newer version of the scheme. As a result, unfilled flats fill urban skylines. "Unsold inventory has consistently increased since 2020 as supply levels have exceeded sales," says Gulam Zia, senior executive director at property consultants Knight